file their income tax returns. The 2026 Form W-4P was also updated to add a new checkbox below Step 4(c) for a payee to request no federal income tax withholding. Previously, the payee wrote "No withholding" below Step 4(c).

Withholding on qualified tips. For tax years beginning after 2024 and ending before 2029, P.L. 119-21 allows employees and self-employed individuals to deduct up to $25,000 of qualified tips received in occupations that customarily and regularly received tips on or before December 31, 2024, on their income tax returns. Qualified tips are cash tips, which include voluntary cash or charged tips received from customers or, in the case of employees, through tip-sharing arrangements. Mandatory service charges added to the bill are not qualified tips. Employers must use an employee's updated Form W-4, if one is submitted by the employee, and the federal income tax withholding procedures in this publication to allow the employee to account for their expected deduction and receive more money in each paycheck instead of waiting until filing their income tax return to receive the full benefit of this deduction. Tips are still generally subject to both the employer share and employee share of social security tax and Medicare tax if the tips received are $20 or more per month.

Employers and other payers must file information returns (for example, Forms W-2, 1099-MISC, and 1099-NEC) with the Social Security Administration (SSA) or IRS, as applicable, and furnish statements to tip recipients showing cash tips received and the Treasury Tipped Occupation Code(s) of the tip recipient. However, the IRS has provided transition relief to employers and payers for the tax year 2025 reporting requirements. For more information, see Notice 2025-62, 2025-48 I.R.B. 740, available at *IRS.gov/irb/2025-48_IRB#NOT-2025-62*.

Withholding on qualified overtime compensation. For tax years beginning after 2024 and ending before 2029, P.L. 119-21 allows individuals (employees and other workers not treated as employees) to deduct up to $12,500 ($25,000 if married filing jointly) of qualified overtime compensation on their income tax returns. Qualified overtime is compensation that exceeds the regular rate of pay (such as the "half" portion of time-and-a-half compensation) that is required to be paid to an individual under section 7 of the Fair Labor Standards Act (FLSA) of 1938. The FLSA provides that employers must generally pay covered, nonexempt employees at least one-and-a-half times their regular rate of pay for hours worked over 40 hours per week. For more information about overtime compensation, go to *dol.gov/agencies/whd/overtime*. Employers must use an employee's updated Form W-4, if one is submitted by the employee, and the federal income tax withholding procedures in this publication to allow the employee to account for their expected deduction and receive more money in each paycheck instead of waiting until filing their income tax return to receive the full benefit of this deduction. Overtime compensation is still generally subject to both the employer share and employee share of social security tax and Medicare tax.

Employers and other payers must file information returns (for example, Forms W-2, 1099-MISC, and 1099-NEC) with the SSA or IRS, as applicable, and furnish statements to overtime recipients showing qualified overtime compensation paid during the year. However, the IRS has provided transition relief to employers and payers for the tax year 2025 reporting requirements. For more information, see *Notice 2025-62*.

Reminders

IRS Tax Withholding Estimator. Employees and payees may use the IRS Tax Withholding Estimator, available at *IRS.gov/W4App*, when completing their Form W-4 or their Form W-4P.

Form W-4P and Form W-4R. Form W-4P was redesigned for 2022. Form W-4P is now used only to make withholding elections for periodic pension or annuity payments. Previously, Form W-4P was also used to make withholding elections for nonperiodic payments and eligible rollover distributions. Withholding elections for nonperiodic payments and eligible rollover distributions are now made on Form W-4R, Withholding Certificate for Nonperiodic Payments and Eligible Rollover Distributions.

Section 1 of this publication includes Worksheet 1B for payers to figure withholding on periodic payments of pensions and annuities based on a 2022 or later Form W-4P or a 2021 and earlier Form W-4P. Worksheet 1B is used with the STANDARD Withholding Rate Schedules in the 2026 Percentage Method Tables for Automated Payroll Systems and Withholding on Periodic Payments of Pensions and Annuities that are included in section 1. If a payer is figuring withholding on periodic payments based on a 2021 or earlier Form W-4P, the payer may also figure withholding using the methods described in section 3 and section 5. For more information about Form W-4P, see *Form W-4P*, later. Also, see *How To Treat 2021 and Earlier Forms W-4P as if They Were 2022 or Later Forms W-4P*, later, for an optional computational bridge.

For more information about Form W-4R, see section 8 of Pub. 15-A, Employer's Supplemental Tax Guide.

Computational bridge for Form W-4. Employers may use an optional computational bridge to treat 2019 and earlier Forms W-4 as if they were 2020 or later Forms W-4 for purposes of figuring federal income tax withholding. See *How To Treat 2019 and Earlier Forms W-4 as if They Were 2020 or Later Forms W-4*, later, for more information.

Electronic submission of Forms W-4 and W-4P. You may set up a system to electronically receive Form W-4 or Form W-4P from an employee or payee.

For each form that you establish an electronic submission system for, you must meet each of the following five requirements.

1. The electronic system must ensure that the information received by you is the information sent by the employee or payee. The system must document all occasions of user access that result in a submission. In addition, the design and operation of the electronic system, including access procedures, must make it

2026 Percentage Method Tables for Automated Payroll Systems and Withholding on Periodic Payments of Pensions and Annuities

STANDARD Withholding Rate Schedules

(Use these if the Form W-4 is from 2019 or earlier, or if the Form W-4 is from 2020 or later and the box in Step 2 of Form W-4 is **NOT** checked. Also, use these for Form W-4P from any year.)

If the Adjusted Annual Wage Amount on Worksheet 1A or the Adjusted Annual Payment Amount on Worksheet 1B is:		The tentative amount to withhold is:	Plus this percentage—	of the amount that the Adjusted Annual Wage or Payment exceeds—
At least—	But less than—			
A	B	C	D	E
Married Filing Jointly				
$0	$19,300	$0.00	0%	$0
$19,300	$44,100	$0.00	10%	$19,300
$44,100	$120,100	$2,480.00	12%	$44,100
$120,100	$230,700	$11,600.00	22%	$120,100
$230,700	$422,850	$35,932.00	24%	$230,700
$422,850	$531,750	$82,048.00	32%	$422,850
$531,750	$788,000	$116,896.00	35%	$531,750
$788,000		$206,583.50	37%	$788,000
Single or Married Filing Separately				
$0	$7,500	$0.00	0%	$0
$7,500	$19,900	$0.00	10%	$7,500
$19,900	$57,900	$1,240.00	12%	$19,900
$57,900	$113,200	$5,800.00	22%	$57,900
$113,200	$209,275	$17,966.00	24%	$113,200
$209,275	$263,725	$41,024.00	32%	$209,275
$263,725	$648,100	$58,448.00	35%	$263,725
$648,100		$192,979.25	37%	$648,100
Head of Household				
$0	$15,550	$0.00	0%	$0
$15,550	$33,250	$0.00	10%	$15,550
$33,250	$83,000	$1,770.00	12%	$33,250
$83,000	$121,250	$7,740.00	22%	$83,000
$121,250	$217,300	$16,155.00	24%	$121,250
$217,300	$271,750	$39,207.00	32%	$217,300
$271,750	$656,150	$56,631.00	35%	$271,750
$656,150		$191,171.00	37%	$656,150

Form W-4, Step 2, Checkbox, Withholding Rate Schedules

(Use these if the Form W-4 is from 2020 or later and the box in Step 2 of Form W-4 **IS** checked.)

If the Adjusted Annual Wage Amount on Worksheet 1A is:		The tentative amount to withhold is:	Plus this percentage—	of the amount that the Adjusted Annual Wage exceeds—
At least—	But less than—			
A	B	C	D	E
Married Filing Jointly				
$0	$16,100	$0.00	0%	$0
$16,100	$28,500	$0.00	10%	$16,100
$28,500	$66,500	$1,240.00	12%	$28,500
$66,500	$121,800	$5,800.00	22%	$66,500
$121,800	$217,875	$17,966.00	24%	$121,800
$217,875	$272,325	$41,024.00	32%	$217,875
$272,325	$400,450	$58,448.00	35%	$272,325
$400,450		$103,291.75	37%	$400,450
Single or Married Filing Separately				
$0	$8,050	$0.00	0%	$0
$8,050	$14,250	$0.00	10%	$8,050
$14,250	$33,250	$620.00	12%	$14,250
$33,250	$60,900	$2,900.00	22%	$33,250
$60,900	$108,938	$8,983.00	24%	$60,900
$108,938	$136,163	$20,512.00	32%	$108,938
$136,163	$328,350	$29,224.00	35%	$136,163
$328,350		$96,489.63	37%	$328,350
Head of Household				
$0	$12,075	$0.00	0%	$0
$12,075	$20,925	$0.00	10%	$12,075
$20,925	$45,800	$885.00	12%	$20,925
$45,800	$64,925	$3,870.00	22%	$45,800
$64,925	$112,950	$8,077.50	24%	$64,925
$112,950	$140,175	$19,603.50	32%	$112,950
$140,175	$332,375	$28,315.50	35%	$140,175
$332,375		$95,585.50	37%	$332,375

2026 Wage Bracket Method Tables for Manual Payroll Systems with Forms W-4 From 2020 or Later

WEEKLY Payroll Period

If the **Adjusted Wage Amount** (line 1h) is		**Married Filing Jointly**		**Head of Household**		**Single or Married Filing Separately**	
At least	But less than	Standard withholding	Form W-4, Step 2, Checkbox withholding	Standard withholding	Form W-4, Step 2, Checkbox withholding	Standard withholding	Form W-4, Step 2, Checkbox withholding
		The Tentative Withholding Amount is:					
$0	**$155**	$0	$0	$0	$0	$0	$0
$155	**$165**	$0	$0	$0	$0	$0	$1
$165	**$175**	$0	$0	$0	$0	$0	$2
$175	**$185**	$0	$0	$0	$0	$0	$3
$185	**$195**	$0	$0	$0	$0	$0	$4
$195	**$205**	$0	$0	$0	$0	$0	$5
$205	**$215**	$0	$0	$0	$0	$0	$6
$215	**$225**	$0	$0	$0	$0	$0	$7
$225	**$235**	$0	$0	$0	$0	$0	$8
$235	**$245**	$0	$0	$0	$1	$0	$9
$245	**$255**	$0	$0	$0	$2	$0	$10
$255	**$265**	$0	$0	$0	$3	$0	$11
$265	**$275**	$0	$0	$0	$4	$0	$12
$275	**$285**	$0	$0	$0	$5	$0	$13
$285	**$295**	$0	$0	$0	$6	$0	$14
$295	**$305**	$0	$0	$0	$7	$0	$15
$305	**$315**	$0	$0	$0	$8	$0	$16
$315	**$325**	$0	$1	$0	$9	$1	$17
$325	**$335**	$0	$2	$0	$10	$2	$19
$335	**$345**	$0	$3	$0	$11	$3	$20
$345	**$355**	$0	$4	$0	$12	$4	$21
$355	**$365**	$0	$5	$0	$13	$5	$22
$365	**$375**	$0	$6	$0	$14	$6	$23
$375	**$385**	$0	$7	$0	$15	$7	$25
$385	**$395**	$0	$8	$0	$16	$8	$26
$395	**$405**	$0	$9	$0	$17	$9	$27
$405	**$415**	$0	$10	$0	$18	$10	$28
$415	**$425**	$0	$11	$0	$19	$11	$29
$425	**$435**	$0	$12	$0	$20	$12	$31
$435	**$445**	$0	$13	$0	$22	$13	$32
$445	**$455**	$0	$14	$0	$23	$14	$33
$455	**$465**	$0	$15	$0	$24	$15	$34
$465	**$475**	$0	$16	$1	$25	$16	$35
$475	**$485**	$0	$17	$2	$26	$17	$37
$485	**$495**	$0	$18	$3	$28	$18	$38
$495	**$505**	$0	$19	$4	$29	$19	$39
$505	**$515**	$0	$20	$5	$30	$20	$40
$515	**$525**	$0	$21	$6	$31	$21	$41
$525	**$535**	$0	$22	$7	$32	$22	$43
$535	**$545**	$0	$23	$8	$34	$23	$44
$545	**$555**	$0	$24	$9	$35	$24	$45
$555	**$565**	$0	$25	$10	$36	$25	$46
$565	**$575**	$0	$26	$11	$37	$26	$47
$575	**$585**	$0	$28	$12	$38	$28	$49
$585	**$595**	$0	$29	$13	$40	$29	$50
$595	**$605**	$0	$30	$14	$41	$30	$51
$605	**$615**	$0	$31	$15	$42	$31	$52
$615	**$625**	$0	$32	$16	$43	$32	$53
$625	**$635**	$1	$34	$17	$44	$34	$55
$635	**$645**	$2	$35	$18	$46	$35	$56
$645	**$655**	$3	$36	$19	$47	$36	$58
$655	**$665**	$4	$37	$20	$48	$37	$60
$665	**$675**	$5	$38	$21	$49	$38	$62
$675	**$685**	$6	$40	$22	$50	$40	$65
$685	**$695**	$7	$41	$23	$52	$41	$67
$695	**$705**	$8	$42	$24	$53	$42	$69
$705	**$715**	$9	$43	$25	$54	$43	$71
$715	**$725**	$10	$44	$26	$55	$44	$73
$725	**$735**	$11	$46	$27	$56	$46	$76
$735	**$745**	$12	$47	$28	$58	$47	$78
$745	**$755**	$13	$48	$29	$59	$48	$80
$755	**$765**	$14	$49	$30	$60	$49	$82
$765	**$775**	$15	$50	$31	$61	$50	$84
$775	**$785**	$16	$52	$32	$62	$52	$87